1. External Influences on Business Activity

1.1. Political and Legal

Privatisation

- It is the process of transferring ownership and control of government-owned businesses to private sector investors.

Advantages and Disadvantages of Privatisation

Advantages	Disadvantages
Greater efficiency	The state should make important decisions on essential industries to protect the needs of society
Decision-making is faster	Competing privately owned businesses are unlikely to achieve a unified policy for the country's benefit.
Greater motivation and empowerment than in state-owned businesses.	An industry can be made accountable to the country through state ownership
Market forces will operate, forcing failing businesses to change and giving successful ones the opportunity to expand	Strategic industries could be operated as private monopolies to exploit consumers with high prices
Important business decisions are taken for financial rather than political reasons	Breaking up nationalised industries reduces the opportunity to save costs through economies of scale
Finance for state projects can be raised through the sale of nationalised industries	-
Private capital markets can be used and will lead to increased investment in these industries	-

Nationalisation

- It is the process of transferring privately owned businesses into state ownership and control

Advantages and Disadvantages of Nationalisation

Advantages	Disadvantages
Government will have control of major and essential industries	Inefficiency due to profit motive being absent
Integrated industrial policy can now be possible	Government may excessively interfere in business decisions for political reasons
Prevents exploitation of consumers	May be costly for the government to buy private companies
Economies of scale are now possible	Finance cannot be raised through private sources

Legal Constraints on Business Activity

- Laws on employment practices, working conditions and wage levels
- Laws on marketing and consumer rights
- Laws on business competition
- Laws on the location of business

The Law and Employment Practices

- Prevents exploitation of workers (minimum wage, working conditions)
- Controls the use of trade union action
- Legal Constraints generally cover these areas of employment practices
  - Recruitment, employment contracts and termination of employment
  - Health and safety at work
  - Minimum wages

Recruitment, Employment Contracts and Termination of Employment

- Legally protecting the rights of workers includes
  - A written contract of employment must be signed by the employee and employer
  - Minimum age
  - Minimum wages, working conditions, and working hours being controlled
  - Holidays and pension entitlements
  - Ensuring no discrimination takes place
  - Protection against unfair dismissal

Health and Safety Laws

- These laws aim to protect workers from injury and discomfort at work and usually require businesses to
  - Equip factories with safety equipment
  - Provide adequate facilities
  - Provide protection & training from dangerous machines
  - Give adequate breaks

Minimum Wages

Benefits	Criticisms
Prevents exploitation of workers	Can be avoided through casual employment
Reduces income inequality	Raising labour costs can make businesses uncompetitive
Increases standard of living for low-paid workers	Workers paid just above the minimum wage may ask for a wage raise
Provides a work incentive	-

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Evaluating the Impact of Business on Employment and Health and Safety Laws

Advantages	Disadvantages
Workers feel more secure, increasing motivation	Supervisory costs increased
Safer work environment, reduced risk of accidents	Higher wage costs
Avoid court cases and heavy fines	Higher costs from paid holidays
Ability to attract highly skilled workers	Increased number of workers
Greater brand image and publicity	Increased cost of protective clothing & equipment

The Law, Consumer Rights and Marketing Behaviour

- Reasons to protect consumers
  - Influential advertising is making it difficult for consumers to make rational decisions
  - Products are becoming more scientific and technological, difficult for consumers to understand
  - More pressurized selling techniques
  - Increased globalization
  - Increased competition leading to businesses trying to exploit consumers

Laws for Consumer Protection

- Sale of Goods Act
  - Goods should be fit to sell
  - Suitable for the purpose
  - Perform in the way described
- Trade Descriptions Act
  - No misleading descriptions or claims
- Consumer Protection Act
  - Firms providing dangerous or defective products are liable for the cost of any damage
  - Illegal to quote misleading prices

The Law and Business Competition

- Benefits of free and fair competition to consumers
  - Wider choice
  - Lower prices
  - Improve the quality, design and performance of the product
  - International competition will help strengthen the domestic economy
- Laws on competition
  - Investigate and control monopolies
  - Limit uncompetitive practices

Evaluating the Impact of Consumer Protection Laws on Business

- Following these laws results in business costs rising due to
  - Redesigning products to meet consumer health and safety laws
  - Redesigning ads to more accurately describe the product
  - Improving quality control
- Following these laws requires a change of strategy and culture; however, the benefits are
  - Reduces the chance of bad brand image through consumer injury from using a product
  - Reduces chances of legal action
  - Better brand image and loyalty
  - A better reputation resulting from dealing with consumers fairly and honestly

1.2. Economic

Government Support for Business Activity

- Governments can intervene by supporting or subsidizing start-ups, small businesses, and existing firms

Government Assistance for Entrepreneurs

- Most governments provide special aid to entrepreneurs and other small business owners. This includes:
  - Offering loan guarantee schemes - guarantee repayment of part of a loan if a start-up or small business fails.
  - Providing information, advice, and training through government departments and local colleges.
  - Financing low-rent workshops for entrepreneurs and small businesses, especially in high-unemployment areas.
  - Reducing paperwork and legal formalities for setting up businesses.
  - Reducing profits tax for new and small businesses, allowing them to retain more profit for expansion.

Government Assistance for All Businesses

- Governments also often intervene to support both small and large businesses through measures such as:
  - Subsidies to reduce prices
  - Subsidies to aid failing businesses and protect employment
  - Grants to relocate to high-unemployment areas
  - Financial aid to consumers who buy products that increase national output

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Benefits of subsidies	Limitations of subsidies
Preventing business failure avoids rising unemployment.	Government must raise taxes or cut spending to fund subsidies.
This also keeps suppliers in business	Subsidies reduce incentives for businesses to improve efficiency.
Business failure may lead to consumers buying imported goods, worsening the balance of payments	Lower prices on subsidised products lead consumers to spend less on unsubsidised items, distorting the market.

How Governments Address Market Failure

- Free markets should operate efficiently to match demand and supply at equilibrium prices, ensuring effective resource allocation. However, critics argue that free markets do not take into account external costs, such as environmental impacts, leading to inefficient use of resources. Failure to allocate resources efficiently is known as market failure

Examples of Market Failure

The examples below illustrate market failure and its relevance to business and government decision-making.

1. **External costs:** Pollution from manufacturing is a common external cost. Businesses pay for private costs like land, labor, and materials, but side effects like air pollution, noise, and waste disposal often aren't included in prices. When businesses don't cover these costs, society bears the burden through higher taxes for clean-up and healthcare. This leads to overproduction and is an example of market failure.
2. **Labour training:** Businesses often avoid training employees due to the risk of them being poached by competitors. This results in a shortage of skilled workers and slows economic growth, representing under-provision and market failure.
3. **Monopoly producers:** Monopolies restrict output and raise prices to maximize profits, leading to under-provision of goods and market failure by preventing competition and reducing supply.

Correcting or controlling market failure

The table below considers the stakeholders impacted most by the examples above and potential government intervention

Examples of market failure	Stakeholder groups most affected	Potential stakeholder reaction and government intervention
External costs - Pollution from Production	**Consumers** may be forced to buy environmentally harmful goods, if no alternatives are present. **Governments** will be forced to take the issue seriously by voters and pressure. **Workers** may fear pollution's health effects and job security if the business shuts down.	A business may reduce external costs if bad publicity damages its reputation and sales. Government can fine polluting businesses or enforce strict pollution limits
Labour training - Insufficient provision of skills training	**Consumers** may receive bad customer services if workers are poorly trained. **Government** will worry about international competitiveness if skill workers are not sufficient. **Shareholders** might see profits fall as output falls below potential	Industry groups like the Engineering Employers Federation could fund industry-wide training to benefit all businesses. The government could fund training courses at colleges through general taxation.
Monopoly producers - Limiting output of goods to maintain high prices	**Consumers** face lack of choice, restricted supply and high prices. Monopolies may not develop new goods as there is limited competition. **Government** is concerned about high prices and a lack of competitiveness in key industries.	**Consumers** through the internet can choose from a wider range of suppliers, breaking down some monopoly situations. **Governments use competition laws**

Macroeconomic objectives of governments

- Governments set targets for the whole economy, known as macroeconomic objectives. These include:
  - **Economic growth** - annual % increase in a country's total output (GDP) measured by real GDP changes
  - **Low price inflation** - rate of consumer price increase
  - **Low unemployment rate**
  - **Long-term balance of payments** between value of imports and exports
  - **Exchange rate stability** - prevent swings in the external value of the currency
- The objectives may conflict with each other. For example, reducing inflation by cutting spending could lead to increased unemployment.

How Economic Objectives and Performance Affect Business Operations

- Economic growth, low inflation, and low unemployment are key factors that impact business activity.

Economic Growth

- **Economic growth** is measured by **GDP** and means a country is getting richer.

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- **GDP** is measured in monetary terms and the value of **GDP** is raised by **inflation**. Such an increase is not true **economic growth**. True **economic growth** occurs when the **real level of GDP** increases due to the actual production of goods and services.
- Economies aim to achieve consistent growth, with varying success. The US experienced GDP growth rates between -2.3% to 3% from 2009-2018, while China averaged 8% growth over the same period. Negative growth occurs when GDP falls, as seen in Zimbabwe (-17% in 2008) and Venezuela (-25% in 2018).

Advantages of Economic Growth

- **It can lead to the following benefits**
  - Raising average living standards if population growth is slow
  - Increased employment, reduced unemployment and increased consumer incomes
  - Allow for more resources to be devoted to public projects like health and education
  - Reduce absolute poverty and make benefits more widespread
  - Boosts business demand for products (depending on income elasticity of demand)
  - Provide more government revenue through taxes and reduced social benefits

Causes of economic growth

- **Technological changes and industrial expansion:** encouraging business investment and innovation in new industries and products
- **Increases in economic resources:** higher worker population, new natural resources, or discoveries
- **Increases in productivity:** A more skilled workforce and willingness to adopt new technology

The business cycle

Economies grow at different rates over time

- **Boom**
  - Period of rapid economic growth with rising income and profit
  - Rising inflation
  - Shortage of skilled workers and higher wage rates
  - Increased interest rate to combat inflation
- **Recession**
  - Falling demand and rising interest rates start to take effect
  - Real GDP growth slows down
  - Income and consumer demand falls, profits are reduced
  - Some businesses make loss and others fail completely
  - Underperformance
- **Slump**
  - Very serious
  - GDP falls significantly
  - Product and asset prices fall
  - More likely to occur if government fails to take corrective action
- **Recovery and growth**
  - All downturns eventually lead to recovery when real GDP begins to rise
  - This is due to corrective government action taking effect
  - Lower product prices increase the competitiveness of a country's exports, increasing demand for them

Is a recession always bad?

- During a recession, output falls, unemployment rises, the income and demand falls
- Government revenue also falls as less income and sales tax is received
- Luxury product businesses face reduced demand, creating spare capacity
- **However, there are opportunities businesses could seize:**
  - Capital assets like factories may be cheaper, allowing businesses to invest in expectation of recovery.
  - Demand for inferior goods may rise.
  - Job loss fears could improve employer-employee relations, increasing efficiency
  - Closing factories and offices can reduce costs, enabling businesses to benefit from future economic growth.

Type of producer	Period of economic growth	Period of recession
Producers of luxury goods and services – e.g. cars	■ increase the range of goods and services ■ raise prices to increase profit margins ■ promote exclusivity and style ■ increase output	■ may not reduce prices for fear of damaging long-term image ■ credit terms to improve affordability ■ offer promotions ■ widen product range with lower-priced models
Producers of normal goods and services – e.g. tinned food	■ add extra value to product – better ingredients/improved packaging ■ brand image may attract exclusive tag ■ do nothing – sales not much affected anyway	■ lower prices ■ promotions ■ do nothing – sales not much affected anyway
Producers of inferior goods and services – e.g. very cheap clothing	■ attempt to move product upmarket ■ add extra value to the product – e.g. higher quality ■ extend the product range to include more exclusive or better-designed products	■ promote good value and low prices ■ free consumer tests ■ increase range of distribution outlets

Inflation and deflation

- The spending power of a dollar is the amount of goods it can buy.
- The spending power of money can change over time

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- If it buys fewer goods than last year, the value has fallen due to **inflation**
- If it buys more, the value has risen due to **deflation**

Causes of inflation

Prices rise either due to businesses increasing them to cover rising costs or to capitalize on high demand for extra profits. These causes can be seen as:

1. Cost-push causes of inflation:

- Businesses face higher production costs due to:
  - Lower exchange rate increasing price of imported materials
  - World demand increasing price of materials
  - Higher wage demanded by workers, in order to maintain their real living standards

2. Demand-pull causes of inflation:

- During an economic boom, rising consumer demand allows producers and retailers to sell at higher prices
- If prices aren't raised, inventories may run out, leading to unsatisfied demand

The effect of low inflation on business decisions

Low inflation can have benefits for businesses:

- Cost increases can be passed to consumers more easily during general price inflation.
- The real value of company debts decreases, benefiting businesses that rely on loans.
- Fixed assets like land and buildings may rise in value, rising business financial security.
- Buying inventories in advance and selling later increases profit margins due to inflation.

The impact of high inflation on business decisions

Higher rates of inflation (such as 6% a year) can have major drawbacks for business:

- Employees may demand higher wages to keep up with inflation
- Consumers might look for bargains over brand names
- Rapid inflation often leads to higher interest rates, which can strain heavily indebted companies
- Cash flow issues may arise as businesses struggle with rising material costs
- Higher domestic inflation can reduce a country's competitiveness abroad
- Businesses may limit credit terms due to concerns about repayment value
- Consumers might stockpile essentials and reduce spending on non-essentials

High inflation also adds to uncertainty about the future:

- Will price continue to rise?
- Will inflation increase again?
- Will the government need to take actions that might reduce business profits?

Business decisions during rapid inflation may include:

- Reducing investment spending
- Reducing profit margins and limiting price rises for competitiveness
- Reducing borrowing to manage interest payments
- Reducing payment periods for trade receivables
- Reducing labour costs

Is deflation beneficial?

- Here's why most businesses don't benefit from deflation:
  - Consumers delay important purchases. This reduces demand and risks recession
  - Discourages investment, as businesses with debts have to repay with more valuable money
  - Falling prices make future profitability of new investments doubtful
  - Inventories lose value, leading to businesses minimising stock

Unemployment

- Members of the working force who are willing and able to work, but cannot find a job

Causes or types of unemployment

- Cyclical employment:
  - Caused by demand falling for products during a recession
  - Businesses need less workers as output falls
  - Unemployed and employed workers have lower incomes and spend less, worsening the recession

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- Structural employment:
  - Exists during rapid growth
  - Certain workers are unable to find jobs, despite jobs existing in growing industries
  - This occurs due to structural changes in the economy, changing demand of labour
  - The most likely causes are:
    1. Changing consumer tastes and spending patterns
    2. Increased use of technology is replacing workers, with new employers seeking adaptable, multi-skilled employees. Unskilled workers unable to adapt to these new requirements.
    3. Decline of heavy manufacturing industries, leading to workers losing jobs and unable to transfer skills to other industries.
- Frictional employment:
  - Unemployment when a worker loses their job and are trying to find a new one
  - Results from changes in labour demand across industries which are occuring all the time
  - Increased labour turnover rates raise the level of frictional unemployment

Cost of unemployment

- Economic output is lower, reducing living standards
- Supporting unemployed workers burdens taxpayers
- May lead to social issues like crime
- Lowers demand for goods by reducing incomes
- Reduced incomes and living standards
- Prolonged unemployment makes finding jobs harder as skills become outdated

Effects of unemployment on business operations

- Reduced demands due to reduced income
- Recruiting new employees is easier with more applicants per vacancy
- Workers may accept lower pay raises due to job insecurity
- Government grants and subsidies may support job creation

How governments achieve macroeconomic objectives

- Governments use monetary, fiscal, supply-side, and exchange rate policies to achieve macroeconomic objectives
- Each policy has a different impact on business and business decisions

Monetary policy

- Monetary policy focuses on adjusting interest rates set by the central bank to meet government inflation targets
- Central banks, in most countries, are given inflation targets by the government and they use interest rates to obtain them
- When inflation is expected to exceed targets, the central bank raises interest rates, and all other banks will follow, typically during economic growth
- If inflation is low and growth is weak, the central bank may lower interest rates to prevent unemployment. The primary aim is inflation control

Impact of monetary policy on business and business operations

Higher interest rate affects businesses in three ways:

- Increased interest costs reduce profits for businesses with high debts
- Lower consumer borrowing reduces demand for credit-based goods (e.g., houses, cars).
- Higher interest rates often lead to currency appreciation

Fiscal policy

- Involves decisions on government spending and tax rates
- Tax revenue is raised by the government to pay for these schemes
- Tax revenue mainly is generated through income tax, VAT, corporation tax and excise duties
- In the annual budget, the finance minister announces spending, tax, and borrowing plans
- The difference between spending and revenue is the budget deficit or surplus

Impact of fiscal policy on business and business operations

- Many fiscal policy changes are insignificant and affect individual product market. Overall changes in total tax revenues or government spending have widespread macroeconomic effects on all businesses. These changes may impact certain businesses but do not significantly affect the overall macroeconomy

The government is likely to make these significant changes under certain circumstances:

- Situation 1: The economy is in recession and unemployment is rising
  - Results from aggregate demand for domestic goods falling below potential output
  - government aims to boost demand to promote economic growth and reduce unemployment
- This can be achieved by:
  - Increasing government expenditure
  - Reducing taxes to raise disposable incomes for consumers and businesses
- Higher disposable incomes encourages spending

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- Known as **expansionary fiscal policy** and typically results in a **budget deficit**
- **Situation 2: The economy is booming and in danger of overheating**
  - A booming economy can lead to both higher inflation and a large balance of payments deficit
  - This results from excess aggregate demand
- **The government can respond by:**
  - Reducing spending, directly lowering demand
  - Increasing taxes, reducing disposable income for consumers and businesses
- Governments often cut investment spending rather than current spending, taking spending power out of the economy by leaving consumers and businesses with lower disposable income
- These actions are known as contractionary or deflationary policies

Summary of fiscal and monetary policy

- The table below outlines measures the government and central bank can use to control a booming economy with high inflation. These actions are reversed if the economy moves into a recession.

Type of policy	Measures to slow down economic growth and reduce inflation	Likely impact on businesses
Fiscal policy Decisions about government spending, taxes and borrowing.	Raise direct tax rates. Raise indirect tax rates. Reduce government spending. The combined effect of these measures will reduce government borrowing.	As consumers' disposable incomes fall, the demand for products will fall. The precise impact will depend on income elasticities (see below). If corporation tax rates are increased, then businesses' retained earnings will decline. This will reduce funds available for business investment. The retail prices of the goods affected will increase. The impact on demand will depend on price elasticities. Businesses providing goods and services directly to the government will risk experiencing a reduction in demand. Defence suppliers and construction companies could be hit, for example.
Monetary policy Decisions about interest rates and the supply of money.	The most likely policy measure will be an increase in interest rates.	The impact of higher rates will be: ■ Highly geared businesses will experience increases in interest payments that may endanger their cash flows. ■ Businesses will be less likely to borrow to finance further investment as the costs of loans may exceed the expected returns. ■ Consumers will be affected in two ways: ❑ They will be less likely to buy goods on credit as the interest charges will be higher. This will hit demand for expensive consumer goods, such as cars and household durable goods. ❑ The demand for houses will fall as mortgages are the biggest loan most consumers take out. The interest on existing consumer debts, such as mortgages, will take a higher proportion of incomes. This reduces consumers' discretionary incomes and will impact on consumer demand. The precise effect will depend on income elasticities. ■ Higher domestic interest rates may encourage overseas capital to flow into the country. This will be likely to lead to an appreciation of the currency exchange rate. This will have implications for the competitiveness of businesses.

Supply-side policies

- Supply-side policies aim to increase industrial competitiveness by improving the supply efficiency of the economy, helping industries become more competitive globally

The following policies may have these impacts:

1. Lowering rates of income tax

- Staff lose motivation to work hard and seek promotions if they are forced to pay high income tax
- Entrepreneurs are discouraged from starting new businesses
- *Reducing* rates of income tax is a supply-side policy
- Low tax rates can encourage enterprise and increase incentives to work
- This discourages investments and as a result, reduces business competitiveness

2. Lowering the rate of corporation tax (profit tax)

- Tax on profits of limited companies
- High profit tax rates reduce internal finance available for business reinvestment
- Low profit tax rates increases retained earnings and encourages investment

3. Improving labour market flexibility and labour productivity

- Labour is a key economic resource. Most governments use policies to improve workforce skills and efficiency while promoting strong work incentives.
- **These include:**
  - Subsidies for worker training and increasing skills training at colleges
  - Higher education funding to improve employment with degrees and qualifications
  - Low income tax rates to encourage entrepreneurship and work incentives
  - Encouraging immigration of skilled workers to fill job vacancies and improve output
  - Restricting welfare benefits to those in genuine need

4. Expenditure on infrastructure projects

- Government spending on dams and irrigation improves agricultural productivity
- New roads and railways improve transport efficiency, allowing exporters reach ports faster
- Reliable internet access promotes e-commerce and web entrepreneurs

5. Making business start-up easier

- Reducing paperwork and setup time encourages new enterprises
- Creates new jobs and competition rises for existing firms, driving efficiency

Exchange rate policy

- Exchange rates are determined by the supply and demand for a country's currency
- The table below summarises the factors influencing the demand and supply of a currency in the foreign exchange market

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Demand for currency	Supply for currency
Foreign buyers of domestic products	Domestic businesses purchasing foreign imports
Foreign tourists spending domestically	Domestic population traveling abroad
Foreign investors buying currency, for example, to benefit from higher domestic interest rates	Domestic investors seeking foreign currency, for example, to buy foreign businesses

- If currency supply exceeds demand, its price falls, leading to exchange rate **depreciation**. *For example*, if $1 drops from €2 to €1.5, the dollar has depreciated against the euro
- If demand exceeds supply, the price rises, resulting in exchange rate **appreciation**. *For example*, if $1 increases from €1.5 to €2, the dollar has appreciated against the euro

Exchange rate appreciation: Business winners and losers

Domestic businesses that gain from appreciation of the currency are:

- Importers of foreign raw materials and components - Benefit from lower domestic currency cost of these raw materials and components
- Importers of foreign manufactured goods - Benefit from lower domestic currency cost of these imports

Domestic businesses that lose from appreciation of currency are:

- Exporters of goods and services to foreign markets - Fall in demand due to higher cost in foreign currency terms. This includes manufactured goods like cars and also services sold to customers abroad
- Businesses selling to the domestic market that have foreign competition - Appreciation makes imports cheaper, making domestic producers less competitive

Exchange rate depreciation: business winners and losers

Domestic businesses that gain from depreciation are:

- Exporters - Can now lower prices in overseas markets, improving competitiveness. This increases export value and leads to expansion of their business
- Domestic businesses - Less competition from importers as imports are now more expensive.

Domestic businesses that lose from depreciation are:

- Manufacturers who depend on imported raw materials and components - Suffers as imports are now more expensive, increasing costs and reducing competitiveness
- Retailers who buy foreign supplies - Suffers as prices of these imports increase, increasing cost and reducing competitiveness, especially if there are domestic substitutes available

Exchange rate policy summary

- Most governments aim to keep their currency's exchange rate stable to avoid the risks of large depreciations or appreciations

However, some governments may allow or encourage:

- Depreciation to increase domestic industry competitiveness
- Depreciation to cancel out competitiveness lost to high inflation, though it may increase inflation
- Appreciation to raise living standards by increasing import purchasing power and reducing inflation
- Some governments may join a common currency, like the euro used by most EU members in the eurozone. A common currency eliminates exchange rate fluctuations between member countries

Alleged benefits of common currency:

- It eliminates currency fluctuations between member countries, resulting in:
  - No price fluctuations for imported materials and components
  - No fluctuations in export prices, resulting in stable demand
  - No uncertainty over profits from trading or investing in other member countries
- It lowers costs for businesses trading with other member countries:
  - No need to convert other currencies into the domestic currency, therefore no bank commission payments
  - The same product price is set for all member countries
- It encourages inward investment from non-member businesses wanting to gain access to the common currency market

Alleged limitations of common currency:

- The European Central Bank sets interest rates for all member countries in the eurozone. This reduces individual central banks' control over interest rates
- A common currency may lead to common tax policies within the currency zone. This reduces individual governments' control over its own tax rates
- Each government cannot depreciate its currency to increase competitiveness

International competitiveness: non-price factors

Exchange rate depreciation is not the only factor affecting product competitiveness in global markets. Non-price factors are also significant:

- Product design and innovation: Innovative products, like the latest Apple iPhone, attract customers even at premium prices

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- **Quality and reliability:** Japanese cars are highly reliable, appealing to consumers despite not being the cheapest.
- **Effective promotion and distribution:** These two strategies explain the global success of McDonald's
- **After-sales service:** Includes extended warranties
- **Investment in skilled employees and modern technology:** Increases production flexibility and labor productivity, overcoming drawbacks by higher resource costs

1.3. Social and Demographic

Corporate Social Responsibility

- When a business accepts its legal and moral responsibilities to all stakeholders, not just investors, it shows **corporate social responsibility (CSR)**
- How the business decisions impact society and the environment identifies the importance of CSR for the business

CSR and Accounting Practices

- Is it **socially responsible** to report misleading profits to convince shareholders a company is a good investment? Is it **socially responsible** to inflate a business's value to encourage lenders to give loans?
- These practices, and other methods of making accounts appear more favourable, are known as **"accounting window dressing"**
- The common view is that deliberately distorting a company's profitability or value to mislead is **socially irresponsible and should be illegal**

CSR and Social Auditing

- There is increasing demand for businesses to report annually how socially responsible they have been.
- An annual social report indicates the social impact of a business over a period and is called **social audits**. They usually include
  - Health and safety record
  - Pollution levels
  - Contributions to local community events and charities
  - Proportion of ethically sourced supplies
  - Employee benefit schemes
  - Customer and supplier feedback on the business's ethical practices
  - Annual social responsibility targets

Benefits	Limitations
Identifies what social responsibilities the business is meeting and what needs to be achieved	May not be taken seriously by stakeholders
Managers can set targets for social performance	Costly and requires time
Improved public image	Some consumers may not care about the social responsibility of a business and only want cheap goods

Why Businesses need to Consider Community Needs

- Improved public image, more attractive to consumers and investors
- Increased likelihood that the community accepts business decisions like expansion or relocation
- Increased chances of government grants and subsidies
- Reduced risk of negative action taken by **pressure groups**

Pressure Groups

A **pressure group** is an organisation created by people with a common interest or aim who put pressure on businesses and governments to change policies so that an objective that seeks to influence elected officials to take action or make a change on a specific issue

International examples of pressure groups

- **Greenpeace:** campaigns for greater environmental protection by businesses adopting greener strategies and governments implementing stricter anti-pollution laws.
- **Fairtrade Foundation:** tries to achieve a better deal for agricultural producers in low-income countries
- **Amnesty International:** supports human rights, especially in countries where these are at risk
- **Extinction Rebellion:** encourages demonstrations to force governments to combat climate change

Pressure groups want to change in three areas

- Business policies that, for example, harm the environment
- Consumer spending habits, so businesses with proper policies face increased sales and those that do not see sales fall
- Government policies and laws to support the aims of the group

Pressure groups try to reach these aims in multiple ways

- **Publicity through Media Coverage:** using press releases and coverage of events like meetings and demonstrations to induce bad publicity for targeted companies so that they have a greater chance of changing their policies
- **Influencing consumer behaviour:** if the pressure group influences consumers to stop buying a company's products for long enough, then there is greater chance of the company changing its policies

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- **Lobbying of government:** This means presenting their arguments to government officials to push for legal changes. If a campaign impacts the government's popularity, it increases the likelihood of policy changes.

Demographic Changes

The size and structure of the population can change at

- Local level
- National level
- Global level

Recent changes in global social and demographics include

- An ageing population in several high-income countries
- Change in the role of women
- Better education facilities and opportunities, improving literacy
- Earlier retirement in numerous high-income countries
- Increasing divorce rates
- Job insecurity

Social and Demographic Influences on Business Activity

An Ageing Population

- A larger part of the population is over retirement age
- A smaller proportion is below 25 years of age
- Increasing number of dependents on social benefits, resulting in greater tax burden on the working population

The influences on the business of such changes are most obvious in two ways:

- **Changing patterns of demand:** Older consumers demand different types of products. Market research will need to be conducted to forecast changes in demand for products as a result of the ageing population.
- **Age structure of the workforce:** Due to the decreasing number of young employees available, workforce planning may require catering to older workers or retaining workers for longer than usual. Younger staff are generally more adaptable and easier to train in new technologies, while older workers often bring loyalty and valuable experience that can enhance customer service.

Patterns of Employment

- The main features of changing employment patterns in many countries are
  - Transfer of labour from secondary to tertiary sector
  - Transfer of labour from old established industries to new hi-tech industries
  - The number of women employed is increasing
  - Increase in part-time employment
  - Learner employment on a part-time basis is rising. Some industries are staffed vastly by learners and part-timers
  - Increase in temporary and flexible employment contracts
  - Flexible work patterns are more common, which can benefit both employer and employee
  - The ageing population increases the dependency ratio
  - More women tend to stay in full-time employment for extended periods of time
  - More women taking maternity leaves and then returning to work
  - Several countries are multicultural, affecting the pattern of women at work.
  - The percentage of women seeking full-time employment in the UK has risen to 75%

Evaluating the Influence on Business of Social and Demographic Changes

Possible opportunities	Possible threats
Growing demand for products targeting specific ethnic or age groups	Reduced demand for products targeting less significant age or social groups
Demand for housing and household products rising due to increasing population	Labour shortage due to an ageing population
Rising numbers of high-income, middle-class people spending more on luxury goods	Higher taxes to fund increased dependants on social benefits.
Part-time work inducing greater operational flexibility	Restructure work patterns to accommodate part-time workers
	Part-time workers may find it harder to build into a loyal team

1.4. Technological

Technological Influences on Business Activities

- Technology, in its simplest form, refers to the use of tools, machines, and science in industry.

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- Recent developments in technology have transformed how most businesses operate, including:
  - How products demanded by consumers
  - How products are produced
  - How businesses communicate
  - How businesses gather, store, and use information.

The Effect of Technological Change on Businesses

- Opportunities
  - New products
  - New processes
  - Lower costs
  - Better communication
  - Increased information
- New technology also results in possible threats to business:
  - Costs: Capital costs can be substantial, and recurring labour training expenses are necessary with ongoing technological advancements. Redundancy costs may arise when employees are replaced by technology
  - Workforce relations: These can be threatened if technological changes are not explained properly and are justified to workers. Job losses can reduce job security for remaining employees, lowering motivation. Trade unions may oppose changes if they threaten too many jobs
  - Reliability: Breakdowns in automated systems can halt production. New systems may have teething problems, and efficiency gains may take longer than expected to achieve
  - Data protection: National laws regulate the right to hold staff and customer data, so businesses must stay updated on legal constraints for IT use
  - Management: Some managers do not support new technology. Recognizing and managing change requires good management skills.
  - Competition Rival companies may adopt technology more quickly, potentially making a business less competitive despite its investments.

Provision of data for decision-making

- Management information systems use IT to supply managers with extensive data on business operations. The benefits include:
  - Managers can quickly access data from all departments and regional divisions, improving overall control
  - Computers can be used to quickly analyze and process data, enabling managers to interpret and make decisions faster
  - Management information systems speed up decision communication to those in the organisation that need to know
- The drawbacks include:
  - The ease of transferring data electronically can cause information overload, making it harder to identify key information and areas needing action
  - The power that information brings to central managers may reduce the authority of work teams and middle managers, leading to oppressive control and decreased job enrichment and motivation

Introducing Technology Effectively

- Analyse – the use of IT
- Involve – managers and other staff
- Evaluate – different systems and programs (cost, efficiency, budget)
- Plan – introduction of new system, training
- Monitor – introduction and effectiveness of the system

1.5. Competitors and suppliers

Impact of Competitors and Suppliers

- The more competitors and their market share, the less market power individual businesses have, leading to price decisions being influenced by competitors unless product differentiation is achieved
- Even with fewer competitors, if it is easy for new businesses to join an industry, an individual business's market power will be low
- Fewer suppliers reduce a business's ability to influence prices, while many competing suppliers allow businesses to push prices down and demand better credit terms

1.6. International

International Influences

All countries participate in international trade. The opportunities that it presents mean that a rising percentage of businesses use imported materials or export products, or even both.

Influence and Significance of International Trade

- The expansion of global trade has increased significantly in recent years.
- The significant trade growth between countries like China, the USA, and the EU has greatly impacted their economic development
- Countries can also build enhanced business, political, and social links through trading together
- International trade can have drawbacks that governments must consider. Selective support may be necessary for firms and groups most affected.

These Drawbacks Include:

- Domestic firms being unable to compete effectively with imports may face loss of output and jobs

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- Imports may lead to a decline in domestic industries producing essential goods, putting the country at risk in case of conflicts or disruptions in import supply
- Shifting from goods that cannot compete with imports to those with comparative advantage may take a long time, leading to job losses and factory closures before other production increases
- New businesses may struggle to survive against established importers, preventing **'infant industries'** from growing domestically
- Some importers may **'dump'** goods below cost to drive out domestic competition
- If the value of imports exceeds the value of exports for several years, it may lead to a loss of foreign exchange

Effect of international trade agreements

- Recent international trade agreements have significantly reduced protectionism, with common trade barriers including tariffs, quotas, and voluntary export limits
- **Recent shifts towards free international trade with less protectionism have been driven by:**
  - **The World Trade Organization (WTO):** countries dedicated to removing trade restrictions through negotiated agreements
  - **Free-trade blocs:** A group of countries that trade freely with each other but impose trade barriers on others to gain a competitive advantage. For example: ASEAN (Association of Southeast Asian Nations) and the European Union (EU)
- **Benefits of international trade**
  - International trade widens consumer choice by providing access to products that may not be available domestically due to the production facilities not existing
  - Same principle applies to raw materials
  - Imports of raw materials can speed up industrialisation in developing economies
  - Import competition encourages domestic industries to lower costs, keep prices down, and produce higher quality goods
  - Countries can specialise in products they can produce most efficiently and import those they produce less efficiently, known as comparative advantage
  - Specialisation can result in economies of scale, leading to lower costs and prices
  - Some imports are cheaper than domestically produced alternatives
  - Living standards should increase for consumers in all trading countries

The role of technology in international trade

- Improved communication through the internet has significantly boosted international trade. Future growth will be further driven by:
  - **Blockchain:** Speeds up finance arrangements and reduces the cost of trade finance
  - **Artificial Intelligence and Machine Learning:** Used to identify the most cost-effective shipping routes, manages port traffic, and translates e-commerce queries
  - **New Digital Platforms:** Connect service providers with global customers, transforming international trade in services
  - **Mobile Payments:** Technologies like Apple Pay and M-Pesa enable online purchases, particularly in developing countries with weak banking systems, allowing low-income groups to become global consumers

Multinational businesses and relationships with government

- A multinational business is not just an importer or exporter. It has its headquarters in one country and operations in several countries
- The largest multinationals generate revenues greater than many countries' economies.
- The size and influence of multinationals can pose challenges for governments. Many have headquarters in Western Europe or the USA but operate in less-developed countries. When cutting costs, jobs in head office countries are often the last to go
- Host countries must carefully compare the benefits versus drawbacks of multinational operations

Reasons to become a multinational

- It brings the business closer to its main market, lowering transport costs and better market information about consumer taste
- Lower production costs due to cheaper wages, rent, and fewer government restrictions.
- Avoid import restrictions by producing locally.
- Gain access to natural resources unavailable in the home country.

Possible problems for multinationals

- Poor communication with headquarters
- Language, legal and culture difference makes communication difficult
- Hard to coordinate with other multinational plants
- Skill level of local employees may be low, requiring significant training investment

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Assessing the impact of multinationals on host countries

Benefits	Drawbacks
Investment brings in foreign currency, and exporting plant output earns further foreign exchange.	The local workforce might be exploited due to weak labor and safety laws, leading to long hours and few benefits. Recent publicity has pushed companies like Gap and Nike to better monitor child labour in their supply chains
Employment is created, and training programs improve local people's skills.	Manufacturing plants may exceed pollution limits due to weak laws or fear of losing the multinational if stricter environmental practices are enforced
Local firms gain by supplying services and components, generating more jobs and income.	Local firms may be driven out of business due to inferior equipment and smaller resources comparatively
Tax revenues increase from the multinational's profits.	Western companies, such as McDonald's and Coca-Cola, are criticized for imposing Western culture through advertising, potentially reducing local cultural identity
Management expertise improves as local supervisors and managers replace foreign staff.	Profits might be sent back rather than reinvested in the host country
Total economic output rises, increasing GDP.	Multinationals may deplete natural resources without incentive to conserve, as they can relocate if resources run out
Local businesses improve quality and productivity to meet international standards, either to compete with or supply to the multinational.	-

1.7. Environmental

Environmental factors affecting business activity

- **Business activities can greatly impact the environment**
- Air and noise pollution, road congestion, expansion into rural areas, greenhouse gas emissions, and depletion of non-renewable resources are all important environmental issues
- Global concern about these issues is growing

How environmental issues impacts business behaviour

Some analysts believe there is a strong business case for corporate social responsibility (CSR) due to environmental impacts of business activity. Evidence shows that consumers increasingly support businesses with green policies and boycott those harming the environment.

Arguments in Favour and Against Businesses Taking Environmentally Friendly Decisions

Favour	Against
Businesses can benefit from reducing environmental impact by using low-energy equipment, recycled materials, and responsible waste disposal	Environmentally friendly decisions can be costly, such as replacing oil boilers with solar panels, possibly raising product prices and reducing sales if consumers prioritise lower prices over environmental impact
These decisions offer marketing and promotional advantages, minimise legal risks, avoid bad publicity and fines, and attract qualified employees interested in environmental responsibility	Higher costs might reduce profits and limit future investments
Long-term financial benefits may arise, such as lower energy costs from solar panels compared to rising oil and gas prices.	Inadequate environmental laws and inspections in many countries may lead businesses to go for cheaper, less environmentally friendly alternatives.
Avoiding potential costs such as environmental cleanup or compensation for affected locals, and healthcare expenses can also be advantageous.	In developing countries, economic growth may be more important over environmental protection, with low-cost methods favored over greener practices.

- Businesses must ensure their environmental claims are genuine to avoid "greenwashing," which can lead to bad publicity. Critics argue that CSR activities might be used to reduce legal controls on multinationals or distract from environmental damage caused by other operations. If exposed, such tactics can severely harm a business's reputation.

Environmental audits

- An audit is an independent check, commonly associated with company accounts which have to be verified.
- Recently, some businesses have used audits to assess environmental performance, despite challenges in measuring these factors financially and no legal requirement to include them in published accounts.
- However, stakeholders are calling for environmental audits to become mandatory, allowing comparisons of businesses' environmental impacts.
- These audits are voluntary, and companies with strong environmental records tend to publish them, while those with poor records avoid doing so unless audits become compulsory.

How stakeholders may use environmental audits

- Businesses use environmental audits to report on pollution, waste, energy, transport use, and recycling, comparing results with past data, targets, and similar businesses.
- Managers set sustainability targets and report progress in the next audit.

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- **Consumer groups** may use audits to influence buying behavior, leading to increased sales and positive media coverage.
- **Investors**, particularly ethical ones, use audits to guide investment or lending decisions.
- **Employees** take pride in companies with strong environmental records, encouraging teamwork and attracting qualified applicants who may want to join a company with a good reputation and team spirit.

Evaluation of environmental audits

- Some observers will not take environmental audits seriously until they are compulsory with clear standards and verification
- Companies have been accused of using audits as a publicity stunt or as a smokescreen to hide possibly damaging practices
- Audits can be time-consuming and costly, limiting their value for small businesses or those with limited finance

Paying incentives for the award of contracts

- **paying incentives for the award of contracts** can be illegal, depending on the context and jurisdiction.
- Here are some ways businesses are granted contracts through payment of incentives:
  - **Bribery & Corruption Risks** – Paying incentives for contract awards can lead to unethical or illegal business practices.
  - **Unfair Competition** – Such incentives may create an uneven playing field, where contracts go to those who offer the highest bribe rather than the most qualified bidder.
  - **Corporate Governance Issues** – This practice undermines transparency and accountability in business dealings.
  - **Legal Consequences** – Many jurisdictions have strict laws against bribery, such as the Foreign Corrupt Practices Act (FCPA) in the U.S. and the UK Bribery Act.

Ways Governments Constrain Business Activities & Why

- **Regulations & Laws:** Ensure ethical practices (e.g., labour, environment, consumer rights).
- **Taxation:** Discourage harmful activities and fund public services.
- **Price Controls:** Prevent overpricing (price ceilings/maximum pricing) and ensure fair wages (price floors/minimum pricing).
- **Competition Laws:** Prevent monopolies and promote fair competition.
- **Trade Restrictions:** Tariffs, quotas to protect local industries.
- **Subsidy Control:** Avoid market distortions and ensure fair competition.
- **Licensing & Permits:** Maintain quality and safety standards.
- **Environmental Policies:** Reduce pollution, promote sustainability.

Sustainability and business decisions

- Taking environmentally friendly decisions shows a company's commitment to sustainability
- Sustainable business decisions help maintain current living standards globally. Protecting the environment ensures future generations can enjoy a similar quality of life
- Pressure groups, government laws, and green consumerism are pushing businesses to make more sustainable decisions

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